

November 13, 2025

CoreWeave's Warning: When AI Demand Meets Infrastructure Reality

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

The Supply-Constrained Revolution

It has been a fun year writing about AI in 2025. The AI boom has reshaped global markets over the past three years, caused constant fears of a bubble and has driven record capital expenditures, surging equity valuations, and a historic demand for compute power. Staying bullish on the AI infrastructure trade in 2025 has been the way to make money but it has not been easy. Based on CoreWeave's latest update this week, I think the next phase of this revolution will be very different for investors: the constraint has moved from capital to concrete and with it, I expect a very different year in 2026.

Although I believe 2026 will be another year where the winners will be the ones benefitting from the acceleration in AI, I also believe the sector and name winners will be very different than the prior three years and Coreweave was a warning sign of a transition. Next year for me is about sectors about to benefit from AI adoption and one where the massive buildout means a broadening out PMIs heading higher. With more rising estimate revision competition and less concentration, the bar for AI legacy infrastructure winners will be higher.

The artificial intelligence buildout has reached an inflection point where the constraint is no longer demand, capital availability, or technological capability, it's physical infrastructure delivery. CoreWeave's earnings call provided the clearest signal yet that the AI industry is running into hard infrastructure bottlenecks that will reshape investment performance across the sector in 2026 and beyond. When do you hear a company say they have "insatiable" demand to fill and the stock falls 16% that day.

But here's what makes this moment so unusual: while AI is advancing, the macro picture feels like we are coming out of a recession. The Fed is cutting rates because of weakness in the jobs market, credit stress is rising in auto loans, housing, and credit cards. Oil prices are down 15% YTD. These are classic signs of economic weakness yet infrastructure bottlenecks are tightening, not loosening. In a normal cycle, Fed rate cuts stimulate demand to fill excess capacity. Right now in the fastest growing part of the economy and stock market, there is no excess capacity. Companies are rationing customers, cutting capex guidance not from lack of demand but from construction delays, and equipment manufacturers are sold out through 2028.

This is the K-shaped economy in real time. At the bottom of the K, consumers face credit stress and rising unemployment fears, conditions that would typically trigger recession. Yet the story is circular: AI and other exponential innovations are driving margin expansion, which in turn reshapes labor demand and market concentration. The stock market's rally increases household net worth but at the same time AI creates labor anxiety that is growing by the day. At the top of the K, The Mag 7 enjoy AI-driven margin gains and are investing over \$400 billion annually in infrastructure they can't yet monetize. The Fed can stimulate consumers, but it can't accelerate transformer production or data center construction.

Perhaps the "AI bubble" critics are asking the wrong question. The issue isn't return on invested capital. CoreWeave's 85% backlog growth and Oracle's \$455 billion in contracted revenue prove the returns are real. The bubble is in TIME: the gap between exponential demand growth and linear infrastructure buildout capacity. When equipment lead times stretch to 2-7 years and data center construction faces 12-24 month delays while token demand is growing exponentially, even perfect execution cannot close the gap between what customers want and what the physical economy can deliver.

CoreWeave slashed its 2025 capital expenditure guidance by roughly 40% from \$20-23 billion down to \$12-14 billion not because demand weakened or financing became unavailable, but because a third-party data center developer failed to deliver “power shells” on schedule. This wasn’t a demand problem. The company’s revenue backlog surged 85% quarter-over-quarter to \$55.6 billion, driven by contracts with Meta, OpenAI, and Nvidia. Management described customer requests for compute resources as “far exceeding current capacity” and characterized demand as “insatiable.”

CoreWeave has the capital, the customers, and the orders but it cannot deploy the infrastructure fast enough. As management stated bluntly, “This is a systemic problem that the industry will have to deal with for the foreseeable future.” This admission marks a regime change in how investors should think about AI infrastructure investments.

Oracle Confirms the Pattern: Signed Contracts, Missing Infrastructure

CoreWeave’s experience is not isolated. Oracle with its \$657 billion market cap and a staggering \$455 billion revenue backlog faces identical constraints. CEO Safra Catz acknowledged in June 2025: “We actually currently are still waving off customers or scheduling them out into the future so that we have enough supply to meet demand... We are putting out as much capacity as we possibly can.”

Oracle is turning away customers despite having secured massive contracts with OpenAI, Meta, and xAI. The bottleneck isn’t demand, capital, or technology. As CEO Mike Sicilia stated in October 2025: “There is real value in artificial intelligence as demand far outpaces supply.” Sicilia explicitly dismissed “AI bubble” fears, recognizing that compute supply, power availability, and physical facilities cannot keep pace with AI workload growth.

Industry analysts covering Oracle’s earnings identified the core constraint: “This is due to supply constraints across land, buildings, energy and GPUs.” Another review was even more direct: “Execution bottleneck: Oracle signed the contracts, but now it has to actually build the data centers... Execution now is about power, GPUs, and the cadence of embedded regions with AWS, Azure, and Google.”

Oracle’s situation mirrors CoreWeave’s perfectly both companies have secured enormous customer commitments, both have available capital, and both are constrained by the physical buildout timeline. The pattern is now undeniable: the AI infrastructure industry has transitioned from capital-constrained to delivery-constrained. And the similarities extend to the recent performance for their stocks.

GE Vernova: The Equipment Bottleneck Revealed

The infrastructure constraint extends beyond data center shells and power availability. It reaches into the physical equipment supply chain itself. GE Vernova (GEV), the dominant supplier of gas turbines, transformers, and grid equipment for AI data centers, has made the bottleneck explicit.

CEO Scott Strazik stated in March 2025 at CERAWEEK: “I would expect by the end of the summer, we will be largely sold out through the end of ’28 with this equipment” referring to gas turbines, power transformers, and switchgear. The company currently has 50 GW of gas turbines under contract or slot reservation, with lead times stretching into 2028-2030.

But Strazik’s most revealing commentary came in a June 2025 LinkedIn post where he laid out the transformer crisis:

- Distribution transformers now take up to 2 years to deliver, a 4× increase over pre-2022 levels
- Large power transformers average 120 weeks, with some orders stretching to 210 weeks (4 years)
- Lead times for gas turbines now range from 3 to 7 years, depending on model

His summary was blunt: “No transformer = no project.”

GE Vernova purchases nearly \$20 billion in materials and components sourced from over 100 countries. The company faces “supply-chain strains” that have caused its Wind division orders to fall 43% year-over-year as “supply chain bottlenecks and project delays persist.” RBC analyst Chris Dendrinis noted that GE Vernova’s recent \$41 million

investment in generator capacity was necessary to “prevent additional bottlenecks” because generators are “a crucial complement to GE Vernova’s gas turbine business.”

Notably, Strazik told investors in January 2025: “There is significant growth we will achieve in this facility in the years ahead, all within the same four walls, without pouring concrete or adding new cranes.” This suggests GE Vernova is intentionally limiting capacity expansion to maintain margins, a strategy that keeps the bottleneck tight and prices high, but does nothing to solve the industry’s capacity constraint.

From GPU Scarcity to Grid Constraints

For the past two years, the AI investment narrative centered on GPU availability. Nvidia’s H100 and H200 chips were the binding constraint, creating a clear winner-takes-all dynamic that drove Nvidia’s market capitalization above \$3 trillion. That bottleneck has largely resolved. CoreWeave explicitly stated the market remains “supply-constrained across all generations of GPU compute,” but the constraint has shifted downstream.

The new chokepoints are gas turbines, electrical transformers, grid interconnection capacity, and now, with CoreWeave’s guidance cut, Oracle’s customer rationing, and GE Vernova’s sold-out order book reveal the actual physical construction of data center shells and the manufacturing capacity for power equipment. Industry observers noted that “more graphics processing units and data centers could alleviate current bottlenecks in the AI training and inference process,” but the emphasis has shifted decisively toward the data center, power delivery, and equipment manufacturing components of that equation.

These are not software problems that can be solved with better algorithms or more funding. These are multi-year civil engineering, manufacturing, and regulatory challenges involving physical supply chains, utility coordination, and permitting processes. When Oracle’s CFO is “waving off customers,” CoreWeave is pushing revenue recognition into 2026 because construction partners missed timelines, and GE Vernova is sold out through 2028, the message is clear: the digital economy’s expansion rate has exceeded the physical economy’s ability to respond.

The Backlog Paradox: \$500 Billion in Contracts, Nowhere to Deploy Them

The combined revenue backlogs of CoreWeave (\$55.6 billion) and Oracle (\$455 billion) total over half a trillion dollars and these are just two players in a market that includes Microsoft, Google, Amazon, and Meta, each deploying \$50-100 billion annually in AI capex. This creates what we might call the “backlog paradox”: unprecedented customer demand and contracted revenue, but no clear path to convert those contracts into actual infrastructure within reasonable timeframes.

Oracle’s situation is particularly instructive because the company has advantages CoreWeave lacks with decades of data center experience, established utility relationships, massive balance sheet capacity, and strategic partnerships with AWS, Azure, and Google Cloud for “embedded regions.” Yet even Oracle is constrained by what analysts called “power timelines” and “contract terms” around energy availability.

GE Vernova’s situation adds another dimension: even if you have the land, the power agreements, and the capital, you still face 2-4 year lead times on transformers and 3-7 year lead times on gas turbines. The supply chain bottleneck is comprehensive and it spans data center construction, power generation equipment, and grid interconnection infrastructure.

If Oracle, with its institutional knowledge, capital resources, and hyperscaler partnerships, is rationing customers due to supply constraints, and if GE Vernova, the dominant equipment supplier, is sold out through 2028, what does that imply for smaller operators, new entrants, or companies dependent on third-party developers? The answer is visible in CoreWeave’s 40% capex guidance cut: execution risk is now the dominant variable in AI infrastructure valuation.

The paradox at the heart of this AI revolution is that its very success has become its greatest vulnerability. In my opinion, the next AI investment phase will not be defined by who can spend the most, but by who can execute through constraint. Investors must now distinguish between companies that can *monetize* their backlog and those merely *accumulating* one. The shift from a capital-constrained to a delivery-constrained world means that execution risk, project management, and physical infrastructure competency, not raw innovation, will drive relative performance. In 2026, the winners will be those who convert contracts into capacity while preserving margins amid rising costs and tighter timelines.

In my upcoming video this weekend and my written piece next week, I'll explore the next major frontier: AI's impact on Pharma. In my view, this will mark the moment when AI's economic influence moves beyond infrastructure and into the lifeblood of global growth. If realized, the integration of AI in drug discovery and healthcare could permanently alter the trajectory of longevity, corporate earnings and economic productivity, becoming *the* defining AI story of 2026 and beyond.

This moment marks a regime change not just in the AI economy but in market structure itself. When time, not capital, becomes the scarcest asset, valuation multiples tied to near-term earnings optimism become fragile. The market's leadership will broaden as downstream sectors, construction, electrical equipment, and industrial automation, benefit from the physical buildout cycle, even as pure-play AI beneficiaries face tougher comparisons and delayed revenue realization. CoreWeave's warning is not about fading demand but about the limits of exponential growth colliding with the linear world of concrete, copper, and kilowatts. The next great trade will come from understanding that the bottlenecks themselves, time, transformers, and transmission, are the new sources of scarcity premium in the age of artificial intelligence.

DISCLOSURES AND DISCLAIMERS

Analyst Certification

The analyst, 22V Research Group, primarily responsible for the preparation of this research report attests to the following: (1) that the views and opinions rendered in this research report reflect his or her personal views about the subject companies or issuers; and (2) that no part of the research analyst's compensation was, is, or will be directly related to the specific recommendations or views in this research report.

Analyst Certifications and Independence of Research.

Each of the 22V Research analysts whose names appear on the front page of this report hereby certify that all the views expressed in this Report accurately reflect our personal views about any and all of the subject securities or issuers and that no part of our compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views of in this Report.

22V Research (the "Company") is an independent research provider. The Company is not a member of the FINRA or the SIPC and is not a registered broker dealer or investment adviser. 22V Research has no other regulated or unregulated business activities which conflict with its provision of independent research.

22V Research, LLC is a professional services and independent publication organization. 22V Research, LLC is not a securities broker-dealer, not a member of the Financial Industry Regulatory Authority (FINRA), not a registered investment advisor (RIA) and not a member of SIPC.

Securities transactions, when offered, are offered by 22V Securities, LLC through LPS Capital, LLC. Certain employees of 22V Securities, LLC are dually registered as securities representatives of LPS Capital, LLC or Analyst Hub Securities, LLC. 22V Securities, LPS Capital and Analyst Hub Securities are members FINRA, SIPC.

<https://brokercheck.finra.org/>

Current Ratings Definition.

SECTOR OUTPERFORM: An "outperform" rating anticipates the company will outperform the S&P Regional Banking Index (peer group).

SECTOR PERFORM: A "market perform" rating anticipates the company will perform in line with the S&P Regional Banking Index (peer group).

SECTOR UNDERPERFORM: An "underperform" rating anticipates the company will underperform the S&P Regional Banking Index (peer group).

Limitation Of Research And Information.

This Report has been prepared for distribution to only qualified institutional or professional clients of 22V Research Group. The contents of this Report represent the views, opinions, and analyses of its authors. The information contained herein does not constitute financial, legal, tax or any other advice. All third-party data presented herein were obtained from publicly available sources which are believed to be reliable; however, the Company makes no warranty, express or implied, concerning the accuracy or completeness of such information. In no event shall the Company be responsible or liable for the correctness of, or update to, any such material or for any damage or lost opportunities resulting from use of this data. Nothing contained in this Report or any distribution by the Company should be construed as any offer to sell, or any solicitation of an offer to buy, any security or investment. Any research or other material received should not be construed as individualized investment advice. Investment decisions should be made as part of an overall portfolio strategy and you should consult with a professional financial advisor, legal and tax advisor prior to making any investment decision. 22V Research Group shall not be liable for any direct or indirect, incidental or consequential loss or damage (including loss of profits, revenue or goodwill) arising from any investment decisions based on information or research obtained from 22V Research Group.

Reproduction And Distribution Strictly Prohibited.

No user of this Report may reproduce, modify, copy, distribute, sell, resell, transmit, transfer, license, assign or publish the Report itself or any information contained therein. Notwithstanding the foregoing, clients with access to working models are permitted to alter or modify the information contained therein, provided that it is solely for such client's own use. This Report is not intended to be available or distributed for any purpose that would be deemed unlawful or otherwise prohibited by any local, state, national or international laws or regulations or would otherwise subject the Company to registration or regulation of any kind within such jurisdiction.

Copyrights, Trademarks, Intellectual Property.

22V Research Group, and any logos or marks included in this Report are proprietary materials. The use of such terms and logos and marks without the express written consent of 22V Research Group is strictly prohibited. The copyright in the pages or in the screens of the Report, and in the information and material therein, is proprietary material owned by 22V Research Group unless otherwise indicated. The unauthorized use of any material on this Report may violate numerous statutes, regulations and laws, including, but not limited to, copyright, trademark, trade secret or patent laws.